

that the American household has: \$5,700.²⁸ An interest rate of 19.24% on \$5,700 costs \$91 per month in just interest.

Table 6.2. Time and cost to pay off the average credit card debt

Principal	APR	Payment per month	Time to pay off	Total paid
\$5,700	19.24%	\$200	3 years, 3 months	\$7,677

Table 6.2 shows how much money and time it will cost to pay off \$5,700 worth of credit card debt with an APR of 19.24%. It takes three years and three months to pay off this ridiculous debt. Keep in mind, the debt will only be paid off completely if you stop using that credit card altogether during those three years and three months. Also, even though you only borrowed \$5,700, you are going to end up paying back a total of \$7,677. This is how people get burned by credit cards, and why so many people will tell you to stay away from them.

Another reason credit cards are so dangerous is that they have **variable interest rates**. Unlike a **fixed interest rate**, which generally remains the same, a variable interest rate changes over time. For example, while you may initially be offered a 10% APR on your credit card, that rate can easily jump to 20% or more if you miss a payment. As the interest rate increases, it becomes more and more difficult for you to get out of that debt, because more of your monthly payments are going toward the interest instead of the principal.

²⁸ "Consumer Credit-G.19," Federal Reserve, accessed July 18, 2020, <https://www.federalreserve.gov/releases/g19/current>.